

ECONOMY TOPIC 8 — SECURITIES AND FUNDS

claim -> cash flow -> payoff -> portfolio -> protection

PANEL 1/12 — CLAIM WATERFALL

- Debt = contractual creditor claim; equity = residual ownership claim.
- Secured/senior debt -> subordinated debt -> preference -> ordinary equity.
- Priority reduces relative exposure but never guarantees full recovery.
- Answer first: claim, cash flow, priority, maturity, optionality.

PANEL 2/12 — BOND ANATOMY

- Face value -> coupon -> maturity -> redemption.
- Market price changes after issue; coupon rate does not.
- Covenants, security and seniority condition recovery.
- Coupon != current yield != yield to maturity.

PANEL 3/12 — PRICE, DURATION, RISK

- required yield up -> fixed-cash-flow present value down -> price down.
- Duration approximates sensitivity; convexity refines the curve.
- Risks: credit | rate | reinvestment | liquidity | inflation | currency.

PANEL 4/12 — SPECIAL BONDS

- Zero coupon: discount + redemption | Floating: benchmark reset.
- Inflation-indexed: stated cash flow linked to index.
- Callable: issuer option | Puttable: investor option | Convertible: equity path.

● Risks: credit | rate | reinvestment | liquidity | inflation | currency.

● Fixed income does not mean fixed realised return.

● Callable: issuer option | Puttable: investor option | Convertible: equity path.

● Masala: overseas INR debt | Green: disclosed environmental proceeds.

VERIFY DATED RULE / PRODUCT STATUS

PANEL 5/12 — EQUITY AND RATIOS

● Equity: ownership + residual return + governance rights.

● Market cap = price x shares | EPS = profit / weighted shares.

● P-E, P-B and dividend yield are lenses, not verdicts.

● Preference share has priority over ordinary equity but remains share capital.

PANEL 6/12 — DERIVATIVE FAMILY

● Forward/future: symmetric obligations | Option: buyer right, writer duty.

● Swap: exchange specified cash-flow streams.

● Notional reference exposure can exceed cash initially posted.

● Underlying + payoff + purpose + settlement = complete classification.

VERIFY DATED RULE / PRODUCT STATUS

PANEL 7/12 — OPTION PAYOFF

● Long call = $\max(\text{spot} - \text{strike}, 0)$ - premium.

PANEL 8/12 — PURPOSE AND MARGIN

● Existing exposure + offset = hedge | naked direction = speculation.

PANEL 7/12 — OPTION PAYOFF

- Long call = $\max(\text{spot} - \text{strike}, 0) - \text{premium}$.
- Long put = $\max(\text{strike} - \text{spot}, 0) - \text{premium}$.
- Buyer can allow expiry; writer must perform if validly exercised.
- Premium affects break-even; strike alone is not profit.

PANEL 8/12 — PURPOSE AND MARGIN

- Existing exposure + offset = hedge | naked direction = speculation.
- Price inconsistency + offsetting trades = arbitrage.
- Initial margin -> daily MTM -> variation margin -> possible forced sale.
- Margin controls default exposure but can transmit liquidity stress.

PANEL 9/12 — FUND ARCHITECTURE

- Investor -> units -> trust; AMC manages, trustee oversees, custodian holds.
- NAV = $\frac{\text{net scheme assets}}{\text{units outstanding}}$.
- Open/closed, active/passive, asset class and trading form are separate axes.
- ETF trades on exchange and can deviate from NAV.

PANEL 10/12 — FUND SAFEGUARDS

- Direct vs regular = distribution-cost route, not different scheme mandate.
- Riskometer has six levels; it does not predict return.
- Disclosure + valuation + custody + liquidity tools + SCORES remedy.
- SEBI MF Regulations effective 1 Apr 2026; Master Circular 20 Mar 2026.

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VERIFY DATED RULE / PRODUCT STATUS

PANEL 11/12 — VEHICLES AND REGULATORS

- REIT real estate | InvIT infrastructure | AIF private pool | PMS client-specific.

- NPS: PFRDA + Trust + pension fund + CRA + PoP + custodian.

- SEBI domestic securities | RBI specified OTC rate/FX | IFSCA IFSC.

- Wrapper classification must precede return, tax or suitability claims.

VERIFY DATED RULE / PRODUCT STATUS

PANEL 12/12 — CONDUCT AND SYSTEMIC RISK

- UPSI misuse != manipulation != mis-selling; each has a distinct control.

- Leverage/mismatch -> margin/redemption -> forced sale -> lower price -> contagion.

- Verdict: access + truthful disclosure + suitability + resilient settlement.

- Topic 7 = plumbing; Topic 8 = product payoff and portfolio risk.

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